

Fidelity Capital Fund. Tsai, a colorful figure, championed momentum and increased the popularity of momentum investing to the point that he became the first mutual fund manager to gain celebrity treatment in the press. He founded the Manhattan Fund in 1965, expecting to raise \$25 million in the fund's first year. Instead, Tsai attracted \$275 million during the fund's first day.

Dreyfus also influenced William O'Neil, publisher of *Investor's Business Daily*. O'Neil's motto was "buy the strong, sell the weak." One of the key features of O'Neil's well-known CAN SLIM method was to buy stocks that outperformed other stocks and sell those that underperformed. This idea is right out the momentum playbook. O'Neil said, "What seems too high in price and risky to the majority goes higher eventually, and what seems low and cheap usually goes lower."¹ O'Neil's book *How to Make Money in Stocks*, featuring his CAN SLIM approach, has sold over two million copies since 1988.

Also in the 1960s, Nicolas Darvas (1960) wrote several inspiring and entertaining books, including the popular *How I Made \$2,000,000 in the Stock Market*. The book describes his adventures as a professional dancer traveling the world while sending off buy and sell cables to his broker. Darvas would buy strong stocks making new highs, hold them until their momentum began to wane, and then replace them with new price leaders.

Gilbert Haller (1965) advocated a similar "strongest stocks" strategy in his book, *The Haller Theory of Stock Market Trends*. George Soros (2003) used a variation of momentum that he called positive feedback "reflexivity" in order to accumulate large profits with conglomerates and real estate investment trusts (REITs) in the 1960s and 1970s. According to Soros, buying begets further buying in a self-reinforcing process. We will see in [Chapter 4](#) that positive feedback trading due to behavioral factors is one of the key characteristics of momentum.

Momentum has always been the engine behind speculative commodity trading. Richard Donchian launched the first managed futures fund in 1949. Donchian thought price movements in stocks and commodities were often too optimistic or pessimistic because they reflected the emotions of the people trading them. He believed that trend followers could profit from this overextension of prices.